

CHHATTISGARH COPPER LIMITED

(A Joint Venture Company of HCL & CMDC)

FIRST ANNUAL REPORT -2018-19

BOARD OF DIRECTORS*



Shri Santosh Sharma
Managing Director



Shri K C Devasenapathi
Director



Shri Arun Kumar Shukla
Director



Shri P S Yadav
Director



Shri Vinay Kumar Singh
Director

* As on the date of printing

Chhattisgarh Copper Limited
(A Joint Venture Company of HCL & CMDC)

Auditors

M/s. K M Jain & Co., Bhilai

Bankers

State Bank of India

Registered Office

Qtr.NO.002B, Street-40
Sector-05 Bhilai, Durg (CG)-490006
Tel No. : 0788-2222337
Email : chhattisgarhcopper@gmail.com
CIN : U13100CT2018GOI008543

Contents Page No.

Notice to the Members	1
Directors' Report	3
Comments of the C&AG	15
Independent Auditors' Report	16
Financial Statements	25

CHHATTISGARH COPPER LIMITED

(A Joint Venture Company of HCL & CMDC)

CIN: U13100CT2018GOI008543

Regd Office: Hindustan Copper Limited, Qtr.NO.002B, Street-40

Sector-05 Bhilai, Durg (CG)-490006

Email: chattisgarhcopper@gmail.com, Telephone- 0788-2222337

NOTICE

Notice is hereby given that the 1st (First) Annual General Meeting of the Members of Chhattisgarh Copper Limited will be held on Thursday, 4th July, 2019 at 12:00 Noon at Hotel Courtyard Marriott, Raipur at a shorter notice to transact the following businesses:

Ordinary Business

1. To receive, consider and adopt the audited Financial Statement for the year ended on 31st March 2019, along with the Reports of the Statutory Auditors, Directors and Comptroller & Auditor General of India (C&AG).
2. To appoint a Director in place of Shri Prem Singh Yadav (DIN: 02179916), who retires by rotation and is eligible for re-appointment.
3. To appoint a Director in place of Shri Vinay Kumar Singh (DIN: 08306517), who retires by rotation and is eligible for re-appointment.
4. To fix remuneration of Statutory Auditors for financial year 2019-20.

For Chhattisgarh Copper Limited


(Mritunjay Kumar Dev)
Company Secretary
ACS22171

Place: Kolkata
Date : 20.6.2019

Encl:

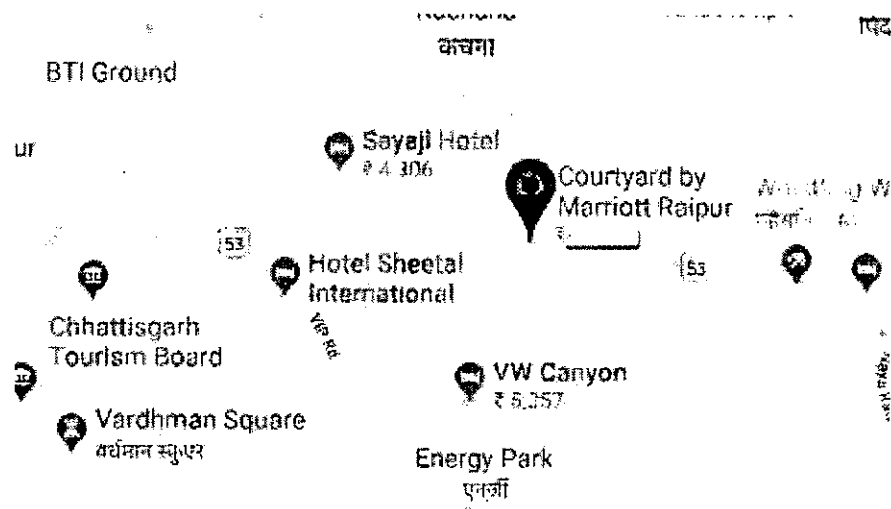
1. Notes to Notice
2. Proxy Form

To

1. All the Members and Directors
2. Statutory Auditors

NOTES:

1. A member of the Company entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote on a poll instead of himself / herself and the proxy need not be a member of the Company. Proxies, in order to be valid and effective, must be deposited at the registered office of the Company not less than 48 hours before the commencement of the meeting. A person can act as proxy on behalf of members not exceeding fifty and holding in the aggregate not more than ten percent of the total share capital of the Company carrying voting rights. A member holding more than ten percent of the total share capital of the Company carrying voting rights may appoint a single person as proxy and such person cannot act as a proxy for any other person or shareholder.
2. Corporate members are requested to send to the registered office of the Company duly certified copy of the Board resolution pursuant to the provisions of section 113 of the Companies Act 2013, authorizing their representative to attend and vote at the Annual General meeting.
3. Route Map indicating venue of the Annual General Meeting (AGM) is given at the end of the Notice.
4. Members are requested to notify immediately change in their address, if any, to the Company at its registered office, quoting the folio numbers.
5. Relevant documents referred to in the Notice are open for inspection at the registered office of the Company on all working days (barring Saturday, Sunday and Holidays) between 11:00 a.m. to 1:00 p.m. up to the date of the AGM.



Chhattisgarh Copper Ltd**Directors' Report**

**To
The Members
Chhattisgarh Copper Limited
Raipur (C.G.)**

Your Directors have pleasure in presenting the 1st (First) Annual Report of Chhattisgarh Copper Ltd (CCL/ the Company) together with audited financial statements of the Company and Auditors' Report thereon for the period commencing from the date of its incorporation i.e. 21st May, 2018 up to 31st March 2019 (financial year).

Chhattisgarh Copper Ltd was incorporated on 21st May, 2018 as Joint Venture Company of Hindustan Copper Ltd (HCL) and Chhattisgarh Mineral Development Corporations Ltd (CMDC) with primary objective of exploration of copper mineral in the State of Chhattisgarh and thereafter mining & beneficiation thereof. The shareholding pattern between HCL and CMDC is in the ratio of 74:26 and therefore CCL is also a subsidiary of HCL. The number of Directors nominated by HCL and CMDC on the Board of CCL is in the ratio of 3:2. The commercial operation of CCL is yet to be commenced.

1. Financial summary

The Company has not yet started its operation and therefore no revenue has been generated during the year. However, the Company has incurred a sum of Rs. 24,79,827/- towards, General, Administration, Depreciation and other expenses. Thereby, the Company has posted a loss of Rs. 24,79,827/- during the financial year.

2. Transfer to reserve

The Company has not transferred any amount to the reserves during the financial year ended on 31st March 2019.

3. Dividend

In view of non availability of profits, the Board does not recommended any dividend for the financial year ended on 31st March 2019.

4. Share capital

The details of the share capital and changes thereto during the financial year are as under:

- (a) **Authorized Share Capital:** The Company was incorporated on 21st May, 2018 with authorized share capital of Rs. 10,00,000/- (Rupees Ten Lakh only) divided into 1,00,000 equity shares of Rs 10/- each which was increased during the year to is Rs. 10,00,00,000/- (Rupees Ten Crore only) divided into 1,00,00,000 equity shares of Rs. 10/- each.
- (b) **Issued Share Capital:** The Company was incorporated with the initial issued and paid up share capital of Rs.1,00,000/- divided into Rs. 10,000/- equity

4

shares of 10/- each which was increased during the year to Rs.25,00,000 divided into Rs. 2,50,000/- equity shares of 10/- each.

5. Operational review

After incorporation, the Company has initiated action for obtaining PL/ML for undertaking exploration of copper mineral in the State of Chhattisgarh. After examining the geological information available, the Company has indentified Bodal Block (21.75 Sqkm) and Hiddar Block (about 28 Sq km) located at District Rajnandgaon. The Company has submitted application for area reservation for above Blocks in the month of July, 2018 under Section 17A of MMDR Act 1957 to the Ministry of Mines, Government of India and State Government of Chhattisgarh. Ministry of Mines has sought information related geology and previous exploration of the proposed area from the State Government of Chhattisgarh. Reply from the State Government of Chhattisgarh is under preparation and will be submitted soon.

6. Material changes affecting the financial position of the Company

No material change and commitment affecting the financial position of the Company occurred between the end of the financial year to which the financial statements relate and the date of the report.

7. Changes in the nature of business

There is no change in the nature of the business of the Company during the financial year.

8. Significant or material orders passed by the Regulators or Courts or Tribunals

There is no significant or material order passed by the Regulators or Courts or Tribunals under the Companies Act, 2013 which would impact the going concern status of the Company's operations in future.

9. Status of subsidiary, joint venture and associate company:

The Company does not have any subsidiary, joint venture or associate company during the financial year ended on 31st March 2019.

10. Deposit

The Company has not taken any Deposits covered under or which are not in compliance with the requirements of Chapter V of the Companies Act, 2013.

11. Particulars of loan, guarantees or investment:

The Company has not given any loan, extended corporate guarantee, provided security or made any investment during the financial year.

12. Related party transactions

The Company has not entered into any related party transaction during the year.

13. Business risk management

As per section 134(3)(n) of the Companies Act, 2013, the Company no risk element has been identified which may threaten the existence of the Company.

14. Internal financial control and their adequacy

5

The Company has adequate system for internal financial control commensurate with its size.

15. Conservation of energy, technology absorption, foreign exchange earnings and outgo under Section 134(3)(m) of the Companies Act, 2013

Since the Company is yet to start its operations, it has not taken any step for conservation of energy, technology absorption. There was no foreign exchange earnings and outgo during the year.

16. Corporate Social Responsibility (CSR)

Since the Company does not have prescribed net worth, turnover or net profit as per Section 135 of the Companies Act, 2013, it is not required to constitute CSR committee and formulate CSR policy.

17. Extract of Annual Return under Section 92(3) of the Companies Act, 2013

The extract of Annual Return pursuant to Section 92(3) read with Rule 12(1) of the Companies (Management & Administration) Rules, 2014 is attached herewith as Annexure-I.

18. Directors and Key Managerial Personnel

Details of the changes occurred in the constitution of the Board during the financial year are given as under:

S. No.	Name of the Directors	Designation	Date of appointment	Date of cessation
1	Shri Santosh Sharma (DIN: 07431945)	Managing Director	21.05.2018	NA
2	Smt. Alarmelmangai Deekaram (DIN: 07851715)	Director	21.05.2018	10.03.2019
3	Shri Onkar Nath Tiwari (DIN: 07876923)	Director	21.05.2018	17.12.2018
4	Shri Arun Kumar Shukla (DIN: 03324672)	Director	10.12.2018	NA
5	Shri Prem Singh Yadav (DIN: 02179916)	Director	10.12.2018	NA
6	Shri Vinay K Singh (DIN: 08306517)	Director	17.12.2018	NA
7	Shri K. C. Devasenapathi (DIN: 08375535)	Director	10.03.2019	

The Board placed on record its appreciation for the valuable services rendered and contribution made by Smt. Alarmelmangai Deekaram and Shri Onkar Nath Tiwari during their tenure on the Board.

RL

6

Further, during the year Shri Hemant Kishore Verma and Shri Mritunjay Kumar Dev were appointed as Chief Financial Officer and Company Secretary of the Company respectively.

19. Directors remuneration:

No remuneration was paid to the Directors of the Company during the financial year.

20. Directors responsibility statement:

In terms of Section 134(5) of the Companies Act, 2013, the Directors state that:

- a) In the preparation of the annual accounts, the applicable accounting standards have been followed along with proper explanation relating to material departures, if any;
- b) The Directors have selected such accounting policies and applied them consistently and made judgments and estimates that were reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit or loss of the Company for that period;
- c) The Directors have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- d) The Directors have prepared the annual accounts on a going concern basis; and
- e) The Directors had devised proper system to ensure compliance with the provisions of all applicable laws and that such system were adequate and operating effectively.

21. Board meetings

During the year four Board meetings were held on 15th June, 2018, 12th July, 2018, 10th December, 2018 and 10th March, 2019. The necessary quorum was present in all the said meetings and proceedings during the meetings have been duly recorded in minutes book maintained for the purpose. Attendance of Directors at Board meetings is as given below:

S. No.	Name of the Director	Designation	No. Board meetings entitled to attend	No. Board meetings attended
1.	Shri Santosh Sharma	Managing Director	4	4
2.	Smt. Alarmelmangai Deekaram	Director	3	3
3.	Shri Onkar Nath Tiwari	Director	3	2
4.	Shri Arun Kumar Shukla	Director	1	1
5.	Shri Prem Singh Yadav)	Director	1	1
6.	Shri Vinay Kumar Singh	Director	1	1
7.	Shri K. C. Devasenapathi	Director	1	1





22. Statutory Auditors

The Comptroller & Auditor General of India (C&AG) has appointed M/s K M Jain & Co, Chartered Accountants, Bhilai, Durg (CG) as the Statutory Auditors of the Company for the financial year ended on 31st March, 2019.

23. Comments of C&AG

The Comments of C&AG under the Companies Act, 2013 on the accounts of the Company for the year ended on 31st March, 2019 are annexed to this report.

24. Disclosure on Secretarial Standard

Provisions of applicable Secretarial Standard were complied during the year.

25. Disclosure under the Sexual Harassment of Woman at Workplace (Prevention, Prohibition and Redressal) Act, 2013

All employees of the Company are treated with dignity with a view to maintain a work environment free of sexual harassment whether physical, verbal or psychological. During the year the Company has not received any complaints on sexual harassment.

26. Acknowledgement

The Board of Directors takes this opportunity to express its appreciation for the support and co-operation extended by the Government of India, State Government of Chhattisgarh. The Directors also appreciate the support received from auditors, bankers and all the stakeholders of the Company.

For and on behalf of the Board of Directors

(P S Yadav)

Director

DIN: 02179916

Date: 02-05-2019

Place: Ko/Kata

(Santosh Sharma)

Managing Director

DIN: 07431945

RE

ANNEXURE-I

FORM NO. MGT 9
EXTRACT OF ANNUAL RETURN
as on financial year ended on 31/03/2019

Pursuant to section 92(3) of the Companies Act, 2013 and rule 12(1) of the Company (Management & Administration) Rules, 2014.

I REGISTRATION & OTHER DETAILS:

i	CIN	U13100CT2018GOI008543	
ii	Registration Date	21/05/2018	
iii	Name of the Company	Chhattisgarh Copper Limited	
iv	Category/ Sub-category of the Company	Company Limited by shares/Indian Government Company	
v	Address of the Registered office	Hindustan Copper Limited, Qtr No. 002B, Street-40, Sector -05, Bhilai, Durg (CG) 490006	
●	Contact Details	E-mail	chhattisgarhcopper@gmail.com
		Phone	0788-2222337
vi	Whether listed company	No	
vii	Name, Address & contact details of the Registrar & Transfer Agent, if	Not Applicable	

II PRINCIPAL BUSINESS ACTIVITIES OF THE COMPANY

All the business activities contributing 10% or more of the total turnover of the company shall be stated

S. No.	Name & Description of main products/services	NIC Code of the Product /service	% to total turnover of the company
The Company is yet to start its operation.			

III PARTICULARS OF HOLDING , SUBSIDIARY & ASSOCIATE COMPANIES

S. No.	Name & Address of the Company	CIN/GLN	Holding/ Subsidiary/ Associate	% of shares held	Applicable Section
● 1	HINDUSTAN COPPER LIMITED	L27201WB1967GOI028825	Holding Company	74	2(46)

BE
7

IV. SHAREHOLDING PATTERN (EQUITY SHARE CAPITAL BREAKUP AS PERCENTAGE OF TOTAL EQUITY)

(i) Category wise Share Holding

Category of Shareholders	No. of Shares held at the beginning of the year (As on the date of incorporation i.e. 21.05.2018)				No. of Shares held at the end of the year				% change during the year
	Demat	Physical	Total	% of total shares	Demat	Physical	Total	% of total shares	
A. Promoters									
(1) Indian									
a) Individuals/ HUF	-	6	6	0	-	6	6	0	-
b) Central Govt.	-	-	-	-	-	-	-	-	-
c) State Govt.	-	-	-	-	-	-	-	-	-
d) Bodies Corporates	-	9,994	9,994	100	-	2,49,994	2,49,994	100	-
e) Bank/FI	-	-	-	-	-	-	-	-	-
f) Any other	-	-	-	-	-	-	-	-	-
Sub Total (A)(1)	-	10,000	10,000	100	-	2,50,000	2,50,000	100	-
(2) Foreign									
a) NRI- Individuals	-	-	-	-	-	-	-	-	-
b) Other Individuals	-	-	-	-	-	-	-	-	-
c) Bodies Corp.	-	-	-	-	-	-	-	-	-
d) Banks/FI	-	-	-	-	-	-	-	-	-
e) Any other...	-	-	-	-	-	-	-	-	-
Sub Total (A)(2)	-	-	-	-	-	-	-	-	-
Total Shareholding of Promoter (A)=	-	10,000	10,000	100	-	2,50,000	2,50,000	100	-
B. PUBLIC SHAREHOLDING									
(1) Institutions									
a) Mutual Funds	-	-	-	-	-	-	-	-	-
b) Banks/FI	-	-	-	-	-	-	-	-	-
c) Central govt	-	-	-	-	-	-	-	-	-
d) State Govt.	-	-	-	-	-	-	-	-	-
f) Insurance Companies	-	-	-	-	-	-	-	-	-
g) FIs	-	-	-	-	-	-	-	-	-
h) Foreign Venture Capital Funds	-	-	-	-	-	-	-	-	-
i) Others (specify)	-	-	-	-	-	-	-	-	-
Sub Total (B)(1):	-	-	-	-	-	-	-	-	-
(2) Non Institutions									
a) Bodies corporates	-	-	-	-	-	-	-	-	-
i) Indian	-	-	-	-	-	-	-	-	-
ii) Overseas	-	-	-	-	-	-	-	-	-
b) Individuals	-	-	-	-	-	-	-	-	-
i) Individual shareholders holding nominal share capital upto Rs.1 lakhs	-	-	-	-	-	-	-	-	-
ii) Individuals shareholders holding nominal share capital in excess of Rs. 1 lakhs	-	-	-	-	-	-	-	-	-
c) Others (specify)	-	-	-	-	-	-	-	-	-
Sub Total (B)(2):	-	-	-	-	-	-	-	-	-
Total Public Shareholding (B)= (B)(1)+(B)(2)	-	-	-	-	-	-	-	-	-
C. Shares held by Custodian for GDRs & ADRs	-	-	-	-	-	-	-	-	-
Grand Total (A+B+C)	-	10,000	10,000	100	-	2,50,000	2,50,000	100	-

(ii) Share Holding of Promoters

S. No.	Shareholders Name	Shareholding at the beginning of the year (As on the date of incorporation i.e. 21.05.2018)			Shareholding at the end of the year			% change in share holding during the year
		Number of shares	% of total shares of the company	% of shares pledged or encumbered to total shares	Number of shares	% of total shares of the company	% of shares pledged or encumbered to total shares	
1	Hindustan Copper Limited	7395	74	-	184995	74	-	-
2	Development Corporation Limited	2599	26	-	64999	26	-	-
3	HCL's Nominee Shareholders (5 Nos.)	5	0	-	5	0	-	-
4	CMDC's Nominee Shareholder (1 No.)	1			1			
	Total	10,000	100		2,50,000	100		

Note: The Company is a joint venture of HCL and CMDC. Their agreed ratio of holding as per the JVA dated 30/08/2016 was 74:26.



(iii) Change in Promoters' Shareholding (specify if there is no change)

S. No.	Particulars	Share holding at the beginning of the Year (As on the date of incorporation i.e. 21.05.2018)		Cumulative Share holding during the year	
		No. of Shares	% of total shares of the company	No of shares	% of total shares of the company
1	At the beginning of the year	10,000	100	10,000	100
2	Date wise increase/decrease in Promoters Share holding during the year specifying the reasons for increase/decrease (e.g. allotment/ transfer/ bonus/ sweat equity etc)				
	(i) Allotment of shares by way of Right Issue on 26/03/2019	2,40,000		2,50,000	100
3	At the end of the year	2,50,000	100	2,50,000	100

(iv) Shareholding pattern of top ten Shareholders (other than Directors, Promoters & holders of GDRs & ADRs)

S. No.	Particulars	Share holding at the beginning of the Year (As on the date of incorporation i.e. 21.05.2018)		Cumulative Share holding during the year	
		No. of Shares	% of total shares of the company	No of shares	% of total shares of the company
	For Each of the Top 10 Shareholders At the beginning of the year Date wise Increase/Decrease in Share holding during the year specifying the reasons for increase / decrease (e.g. allotment / transfer / bonus / sweat equity etc): At the End of the year (or on the date of separation, if separated during the year)				
		NIL			

(v) Shareholding of Directors & KMP

S. No.	Director and KMP	Share holding at the beginning of the Year		Cumulative Share holding during the year	
		No. of Shares	% of total shares of the company	No of shares	% of total shares of the company
	At the beginning of the year Date wise increase/decrease in Promoters Share holding during the year specifying the reasons for increase/ decrease (e.g. allotment/ transfer/ bonus/ sweat equity etc) At the end of the year				
		NIL			

V. INDEBTEDNESS

Indebtedness of the Company including interest outstanding/accrued but not due for payment

Particulars	Secured Loans excluding deposits	Unsecured Loans	Deposits	Total Indebtedness
Indebtness at the beginning of the financial year	NIL			
i) Principal Amount				
ii) Interest due but not paid				
iii) Interest accrued but not due				
Total (i+ii+iii)				
Change in Indebtedness during the financial year				
Additions				
Reduction				
● Change				
Indebtedness at the end of the financial year				
i) Principal Amount				
ii) Interest due but not paid				
iii) Interest accrued but not due				
Total (i+ii+iii)				



VI REMUNERATION OF DIRECTORS AND KEY MANAGERIAL PERSONNEL

A. Remuneration to Managing Director, Whole Time Director and/or Manager:

S. No.	Particulars of Remuneration	Name of the Director/ MD/ WTD/ Manager			Total Amount
1	Gross salary	NIL			
(a)	Salary as per provisions contained in section 17(1) of the Income-tax Act, 1961				
(b)	Value of perquisites u/s 17(2) of the Income tax Act, 1961				
(c)	Profits in lieu of salary under section 17(3) of the Income Tax Act, 1961				
2	Stock option				
3	Sweat Equity				
4	Commission				
	as % of profit				
	others (specify)				
5	Others, please specify				
	Total (A)				
	Ceiling as per the Act	NA			

B. Remuneration to other directors:

1	Independent Directors	There is no independent directors on the Board			
(a)	Fee for attending board / committee meetings	NIL			
(b)	Commission				
(c)	Others, please specify				
	Total (1)				
2	Other Non Executive Directors				
(a)	Fee for attending board / committee meetings				
(c)	Others, please specify.				
	Total (2)				
	Total (B)=(1+2)				
	Total Managerial Remuneration				
	Overall Ceiling as per the Act	NA			

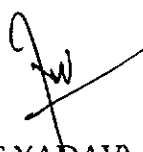
C. Remuneration to Key Managerial Personnel other than MD/ Manager/ WTD

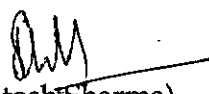
S. No.	Particulars of Remuneration	Key Managerial Personnel			Total Amount
1	Gross Salary	NIL			
(a)	Salary as per provisions contained in section 17(1) of the Income Tax Act, 1961				
(b)	Value of perquisites u/s 17(2) of the Income Tax Act, 1961				
(c)	Profits in lieu of salary under section 17(3) of the Income Tax Act, 1961				
2	Stock Option				
3	Sweat Equity				
4	Commission				
	as % of profit				
	others, specify				
5	Others, please specify				
	Total				

VII. PENALTIES/ PUNISHMENT/ COMPOUNDING OF OFFENCES

Type	Section of the Companies Act	Brief Description	Details of Penalty/ Punishment/ Compounding fees imposed	Authority (RD/ NCLT/ Court)	Appeal made if any (give details)
A. COMPANY PENALTY			NIL		
Penalty					
Punishment					
B. DIRECTORS					
Penalty					
Punishment					
Compounding					
C. OTHER OFFICERS IN DEFAULT					
Penalty					
Punishment					
Compounding					

For, Chhattisgarh Copper Ltd


(P S YADAV)
Director
DIN: 02179916.....


(Santosh Sharma)
Managing Director
DIN: 07431945

Date: 02-05-2019

Place: Kolkata



**COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF
INDIA UNDER SECTION 143(6)(b) OF THE COMPANIES ACT, 2013 ON
THE FINANCIAL STATEMENTS OF CHHATTISGARH COPPER LIMITED
FOR THE YEAR ENDED 31 MARCH 2019**

The preparation of financial statements of Chhattisgarh Copper Limited for the year ended 31 March 2019 in accordance with the financial reporting framework prescribed under the Companies Act, 2013 (Act) is the responsibility of the management of the company. The statutory auditor appointed by the Comptroller and Auditor General of India under Section 139(7) of the Act is responsible for expressing opinion on these financial statements under section 143 of the Act based, on independent audit in accordance with the standards on auditing prescribed under section 143(10) of the Act. This is stated to have been done by them vide their Audit Report dated 2 May 2019.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit under Section 143(6)(a) of the Act of the financial statements of Chhattisgarh Copper Limited for the year ended 31 March 2019. This supplementary audit has been carried out independently without access to the working papers of the statutory auditor and is limited primarily to inquiries of the statutory auditor and company personnel and a selective examination of some of the accounting records. On the basis of my audit nothing significant has come to my knowledge which would give rise to any comment upon or supplement to Statutory Auditors' Report.

Place: Kolkata

Date: 31 MAY 2019

For and on the behalf of the
Comptroller & Auditor General of India

(Suparna Deb)

Director General of Commercial Audit
& Ex-officio Member, Audit Board-I,
Kolkata

Report on the standalone Financial Statements

To,

The members of Chhattisgarh Copper Limited

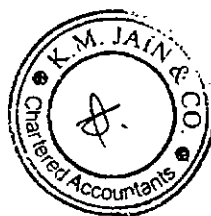
Opinion

We have audited the accompanying Standalone financial statements of **M/s. Chhattisgarh Copper Limited ("the Company")** which comprises the Balance Sheet as at March 31, 2019, the Statement of Profit and Loss, and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2019, and profit/loss, and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.



Responsibility of Management for the Standalone Financial Statements

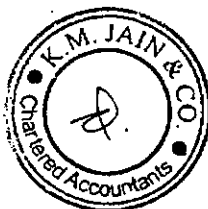
The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance, and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate implementation and maintenance of accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the company's financial reporting process.

Auditor's Responsibility for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.



Report on Other Legal and Regulatory Requirements

As required by the Companies (Auditor's Report) Order, 2016 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the Annexure "A" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

As required by section 143(5) of the act, we give in the Annexure "B" a statement of our replies to the directions/ additional directions issued by Comptroller and Auditor General of India(C&AG)

As required by Section 143(3) of the Act, we report that:

- a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
- b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
- c) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account.
- d) In our opinion, the aforesaid standalone financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
- e) In our opinion, provisions under section 164(2) of the Act, regarding disqualification of Directors are not applicable to a Government Company in terms of Notification No. G.S.R 463(E) dated 05.06.2015 issued by Ministry of Corporate Affairs.
- f) With respect to the adequacy of internal financial control over financial reporting of the company and the operating effectiveness of such controls, refer to our separate report in the Annexure "C".
- g) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 1. The Company does not have any pending litigations which would impact its financial position
 2. Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

For K.M.Jain & Co.
Chartered Accountants
FRN 002252c

Siddharth Jain

(Partner)

MN. 435800

Place: Bhilai

Date: 02.05.2019



Annexure 'A' to the independent Auditors' Report

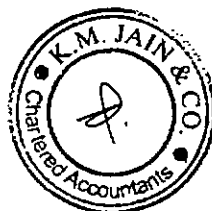
[Referred to in paragraph 1 under "Report on Other Legal and Regulatory Requirements" of our Report of even date to the members of

M/S CHHATTISGARH COPPER LIMITED (THE COMPANY)

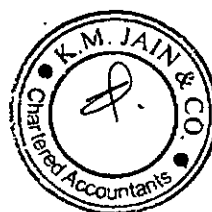
On the accounts of the company for the year ended on 31st March, 2019

On the basis of such checks as we considered appropriate and according to the information and explanation given to us during the course of our audit, we report that:

- I. In respect of its fixed assets:-
 - (a) The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.
- II. As explained to us and the information provided by the management, The Company is still in exploration phase. As on date the company does not have any physical inventory.
- III. In our opinion and according to the information and explanations given to us, the Company has not granted any loan to parties covered in the register maintained under section 189 of the Companies Act 2013, Accordingly, paragraph 3(iii) of the Order is not applicable.
- IV. In our opinion and according to the information and explanations given to us, the Company has complied with the provision of section 185 and 186 of the act, with respect to the loans and investments made. The company has neither issued any guarantee nor has provided any security on behalf of any part.
- V. In our opinion and according to the information and explanations given to us, the Company has not accepted any deposit from the public and hence reporting under paragraph 3(v) of the Order is not applicable.
- VI. The maintenance of cost records has been specified by the Central Government under section 148(1) of the Companies Act, 2013. The company has not commenced business yet, No records have been maintained by the company.
- VII. In respect of statutory dues:



- (a) According to the information and explanations given to us and on the basis of our examination of the records of the company, amounts deducted/ accrued in the books of accounts in respect of undisputed statutory dues including provident fund, Employee State Insurance, income tax, sales tax, services tax, duty of Excise duty of customs, value added tax, cess and other material statutory dues have been regularly deposited during the year by the company with the appropriate authorities, no undisputed amounts payable in respect of provident fund, income tax, goods & service tax, duty of customs, value added tax, cess and other material statutory dues were in arrears as at 31st March, 2019 for a period of more than six months from the date they became payable.
- (b) According to the information and explanations given to us, and the records of the company examined by us, there are no disputed tax matters as on 31st March, 2019.
- VIII.** According to the information and explanations given to us by the management, the Company has not defaulted in any repayment of the loans or borrowings from financial institution, banks nor has it issued any debentures.
- IX.** According to the information and explanations given to us by the management and based on records of the company examined by us, the company has not raised money by way of initial public offer or further public offer including debt instruments and term loan. Accordingly, the provision of clause 3 (ix) of the order are not applicable to the company and hence not commented upon.
- X.** According to the information and explanations given to us, no fraud by the Company or on the Company by its officers or employees has been noticed or reported during the course of our audit.
- XI.** According to the information and explanations given to us and based on our examination of the records of the Company, the Company has not paid/ provided any managerial remuneration.
- XII.** In our opinion and according to the information and explanations given to us, the Company is not a nidhi company. Accordingly, paragraph 3 (xii) of the Order is not applicable.
- XIII.** According to the information and explanations given to us, and based on our examination of the records of the company, the transaction with the related parties are in compliance with Section 177 & 188 of the Act where applicable and details of such transactions have been disclosed in the financial statement as required by applicable accounting standards wherever required.



- XIV.** According to the information and explanations given to us, and based on our examination of the records of the company, the company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year, hence reporting under paragraph 3 (xiv) of the Order is not applicable.
- XV.** According to the information and explanations given to us, and based on our examination of the records of the company, the company has not entered into any non-cash transactions with directors or persons connected with him. Accordingly, paragraph 3 (xv) of the order is not applicable.
- XVI.** The company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934.

For **K.M. Jain & Co.**
Chartered Accountants
(FRN:002252C)



Siddharth Jain
(Partner)
M.No.435800



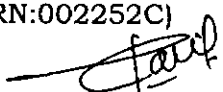
Place: Raipur
Date: 02.05.2019

Annexure 'B' to the independent Auditors' Report

Directions under section 143(5) of the Companies Act, 2013:

Sl. No.	Directions	Action Taken	Impact on Accounts and Financial statements
1.	Whether the company has system in place to process all the accounting transactions through IT System? If yes, the implications of processing of accounting transactions outside IT system on the integrity of the accounts along with financial implications, if any, may be stated.	Yes, the company has system in place to process all the accounting transactions through IT System.	There is no impact on the accounts and financial statements.
2.	Whether there is any restructuring of any existing loan or cases of wavier/write off of debts/loans/interest etc. made by a lender to the company due to the company's inability to repay the loan? If yes, the financial impact may be stated.	Based on the information available to us, there is no restructuring of any existing loan or cases of wavier/write off of debts/loans/interest etc. made by a lender to the company during FY 2018-19.	There is no impact on the accounts and financial statements.
3.	Whether funds received/receivable for specific schemes from Central/State agencies were properly accounted for / utilized as per its term and conditions? List the cases of deviation.	No funds received/receivable for specific schemes from Central/State agencies during FY 2018-19.	There is no impact on the accounts and financial statements.

For **K.M. Jain & Co.**
Chartered Accountants
(FRN:002252C)


Siddharth Jain
(Partner)
M.No.435800



Place: Bhilai
Date: 02.05.2019

"ANNEXURE C" TO INDEPENDENT AUDITOR'S REPORT**Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")**

We have audited the internal financial controls over financial reporting of **Chhattisgarh Copper Limited** ("the Company") as of 31st March, 2019 in conjunction with our audit of the Ind AS financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India (ICAI). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the Ind AS financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.



Meaning of Internal Financial Controls over Financial Reporting

A Company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Company are being made only in accordance with authorizations of management and directors of the Company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the Company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March, 2019 based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on audit of internal financial controls over financial reporting issued by the Institute of Chartered Accountants of India.

For K.M. Jain & Co.
Chartered Accountants
Firm Reg.No.002252C


Siddharth Jain
(Partner)
M.No.435800
Place: Bhilai
Dated:-02.05.2019



CHHATTISGARH COPPER LIMITED
(A Joint Venture Company of HCL & CNDC)

25

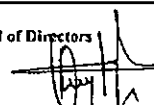
STATEMENT OF ASSET AND LIABILITY AS ON 31ST MARCH, 2019

Particulars		Notes	Fig in (Rs.) As on 31.03.19
A) ASSETS			
1 Non-Current Assets			
Property, plant and equipment	5		494,808
Capital work-in-progress			
Other intangible assets			
Investments in subsidiaries, associates and joint ventures			
Financial assets			
Investments			
Loans			
Other financial assets			
Income Tax assets (net)			
Deferred tax assets (net)			
Other non-current assets			
Sub-total - Non-Current Assets			494,808
2 Current assets			
Inventories			
Financial assets			
Investments			
Trade receivables	6		510,972
Cash and cash equivalents			
Bank balances other than Cash and Cash equivalents above			
Other financial assets			
Other current assets	10		117,000
Assets classified as held for sale			
Sub-total - Current Assets			627,972
TOTAL - ASSETS			1,122,780
B) EQUITY AND LIABILITIES			
1 Equity			
Equity Share capital	1		2,500,000
Other equity	2		(2,479,827)
Sub-total - Shareholders' funds			20,173
2 Liabilities			
Non-current liabilities			
Financial liabilities			
Other financial liabilities			
Provisions			
Income tax liabilities (net)			
Other non-current liabilities			
Sub-total - Non-current liabilities			-
3 Current liabilities			
Financial liabilities			
Trade payables			
Other financial liabilities			
Other current liabilities	3		973,622
Provisions	4		128,985
Current tax liabilities (net)			
Sub-total - Current liabilities			1,102,607
TOTAL - EQUITY AND LIABILITIES			1,122,780

For and on behalf of the Board of Directors

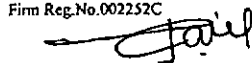

Mr. K. Dev
Company Secretary
M.No. ACS 22171


H. K. Verma
Chief Financial Officer


Vinay K. Singh
Director & CEO
(DIN: 08306517)


Santosh Sharma
Managing Director
(DIN: 07431945)

As per our report of even date attached
For K.M.Jain & Co.
Chartered Accountants
Firm Reg.No.002252C



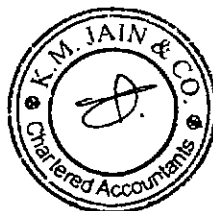
Siddharth Jain
(Partner)

M.No: 435800

Place:

Date:

02.05.2019



26

CHHATTISGARH COPPER LIMITED
(A Joint Venture Company of HCL & CMDC)

STATEMENT OF PROFIT AND LOSS ACCOUNT FOR THE PERIOD ENDED 31ST MARCH, 2019

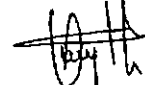
Fig in (Rs.)

Particulars	Notes	For the Year ended 31.03.19
1.a. Sales from Operations		-
1.b. Other Operating Income		-
1. Total Income from operations (net) [1.a. + 1.b.]		-
2. Expenses [sum of (a) to (h)]		2,479,827
a) Cost of materials consumed		-
b) Purchases of stock-in-trade		-
c) Changes in inventories of finished goods, work-in-progress and stock-in-trade		-
d) Employee benefits expense		-
e) Depreciation and amortisation expense	7	65,149
f) Advertising & Promotions		-
g) General, Administration and Other expenses	8&9	2,414,678
3. Profit from operations before other income, finance costs and exceptional items (1-2)		(2,479,827)
4. Other income		-
5. Profit from ordinary activities before finance costs and exceptional items (3+4)		(2,479,827)
6. Finance costs		-
7. Profit from ordinary activities after finance costs but before exceptional items (5-6)		(2,479,827)
8. Exceptional Items - net credit / (charge)		-
9. Profit from Ordinary Activities Before Tax (7+8)		(2,479,827)
10. Tax expense		-
11. Net Profit from Ordinary Activities After Tax (9-10)		(2,479,827)
12. Extraordinary Items		-
13. Net Profit for the period (11+12)		(2,479,827)
14. Other Comprehensive Income (Net of tax)- net credit / (charge)		-
15. Total Comprehensive Income (13+14)		-
16. Paid up Equity Share Capital (face value Re. 10 per share)		2,500,000
17. Reserves excluding Revaluation Reserve as per Balance Sheet		-
18.i Earnings Per Share (EPS) before extraordinary items:		
(a) Basic - Rs.		(9.92)
(b) Diluted - Rs.		(9.92)
18.ii Earnings Per Share (EPS): after extraordinary items:		
(a) Basic - Rs.		(9.92)
(b) Diluted - Rs.		(9.92)

For and on behalf of the Board of Directors


Anuraj K. Dev
Company Secretary
M.No. ACS 22171

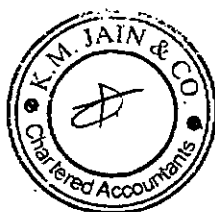

H. K. Verma
Chief Financial Officer


Vinay K. Singh
Director & CEO
(DIN: 08306517)


Santosh Sharma
Managing Director
(DIN: 07431945)

As per our report of even date attached
For K.M.Jain & Co.
Chartered Accountants
Firm Reg.No.002252C


Siddharth Jain
(Partner)
M.No: 435800
Place: Raipur
Date: 02.05.2019



CHHATTISGARH COPPER LIMITED

STATEMENT OF CHANGE IN EQUITY

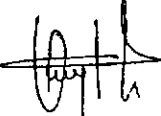
A. EQUITY SHARE CAPITAL			Fig in Rs
BALANCE AT THE BEGINNING OF THE REPORTING PERIOD	CHANGE IN EQUITY SHARE CAPITAL DURING THE YEAR	BALANCE AT THE END OF THE REPORTING PERIOD	
-	2,500,000	2,500,000	

B. OTHER EQUITY					Fig in Rs
	GENERAL RESERVE	CAPITAL RESERVE	RETAINED EARNINGS	TOTAL	
BALANCE AT THE BEGINNING OF THE REPORTING PERIOD	-	-	-	-	
CHANGE IN OTHER EQUITY DURING THE YEAR	-	-	(2,479,827)	(2,479,827)	
BALANCE AT THE END OF THE REPORTING PERIOD	-	-	(2,479,827)	(2,479,827)	

For and on behalf of the Board of Directors


Mr. Munjay K. Dev
 Company Secretary
 M.No. ACS 22171

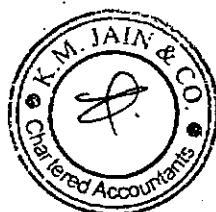

H. K. Verma
 Chief Financial Officer


Vinay K. Singh
 Director & CEO
 (DIN: 08306517)


Santosh Sharma
 Managing Director
 (DIN: 07431945)

As per our report of even date attached
 For K.M. Jain & Co.
 Chartered Accountants
 Firm Reg.No.002252C


Siddharth Jain
 (Partner)
 M.No: 435800
 Place: Raipur
 Date: 02.05.2019



CHHATTISGARH COPPER LIMITED

28

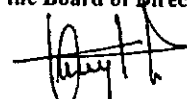
Statement of Cash Flows

	2018-19
Cash flows from operating activities	
Profit before taxation	(2,479,827.00)
Adjustments for:	
Depreciation	65,149.00
Investment income	-
Interest expense	-
Profit / (Loss) on the sale of property, plant & equipment	-
Working capital changes:	
(Increase) / Decrease in trade and other receivables	(117,000.00)
(Increase) / (Decrease) in inventories	-
Increase / (Decrease) in trade payables	1,102,607.00
Cash generated from operations	(1,429,071.00)
Interest paid	-
Income taxes paid	-
Dividends paid	-
Net cash from operating activities	(1,429,071.00)
Cash flows from investing activities	
Business acquisitions, net of cash acquired	-
Purchase of property, plant and equipment	(559,957.00)
Proceeds from sale of equipment	-
Acquisition of portfolio investments	-
Investment income	-
Net cash used in investing activities	(559,957.00)
Cash flows from financing activities	
Proceeds from issue of share capital	2,500,000.00
Proceeds from long-term borrowings	-
Payment of long-term borrowings	-
Net cash used in financing activities	2,500,000.00
Net increase in cash and cash equivalents	510,972.00
Cash and cash equivalents at beginning of period	-
Cash and cash equivalents at end of period	510,972.00

For and on behalf of the Board of Directors

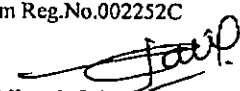

Mritunjay K. Dev
 Company Secretary
 M.No. ACS 22171


H. K. Verma
 Chief Financial Officer


Vinay K Singh
 Director & CE
 (DIN: 08306517)


Santosh Sharma
 Managing Director
 (DIN: 07431945)

As per our report of even date attached
 For **K.M.Jain & Co.**
 Chartered Accountants
 Firm Reg.No.002252C


Siddharth Jain
 (Partner)



M.No: 435800
 Place:
 Date:

CHHATTISGARH COPPER LIMITED
Notes On Financial Statements For The Year Ended 31st March 2019

NOTES No.	PARTICULARS	For the period ended 31st MAR 2019	
		Number of Shares	Amount in Rs.
1	SHARE CAPITAL		
	a) AUTHORISED SHARE CAPITAL - Equity Share Capital		
	b) PAR VALUE PER EQUITY SHARE (in 'Rs)	10,000,000	100,000,000
	c) PAR VALUE PER PREFERENCE SHARE (in 'Rs)		
	d) NO. OF SHARES ISSUED, SUBSCRIBED AND FULLY PAID - Equity Share Capital		
	HCL LTD	250,000	2,500,000
	CMDC LTD	185,000	1,850,000
		65,000	650,000
	TOTAL:	250,000	2,500,000
	e) RECONCILIATION OF NO. OF SHARES & SHARE CAPITAL OUTSTANDING: OUTSTANDING AS ON 01.04.2018	No. of Shares	(Amt in 'Rs)
2	Add: No. of shares/Share Capital issued/ subscribed during the period	-	-
	Less: Reduction in no. of shares/Share Capital	250,000	2,500,000
	OUTSTANDING AS ON 31.03.2019	250,000	2,500,000
	f) SHARES IN THE COMPANY HELD BY EACH SHAREHOLDER HOLDING MORE THAN 5 PERCENT SPECIFYING THE NUMBER OF SHARES HELD		
	HCL LTD	In No.	In (%)
	CMDC LTD	185,000	74%
		65,000	26%
	250,000		
	65,000		
	g) AGGREGATE NO. OF SHARES ALLOTTED PURSUANT TO A CONTRACT WITHOUT PAYMENT BEING RECEIVED IN CASH (ALLOTTED TO CMDC LTD, RAIPUR)		
2			
	RESERVE AND SURPLUS		Amount in Rs.
	a) CAPITAL RESERVE AS PER LAST BALANCE SHEET		
	Add: Transfer from Surplus		
	Add: Grants received during the period		
	Less: Write back during the period		
	Less: Adjustments during the period		
	AS AT BALANCE SHEET DATE		
	b) SPECIAL RESERVE AS PER LAST BALANCE SHEET		
	Add: Transfer from Surplus		
	Less: Transfer to Surplus		
	Less: Adjustments during the period		
	AS AT BALANCE SHEET DATE		
	c) STATUTORY RESERVE AS PER LAST BALANCE SHEET		
	Add: Transfer from Surplus		
	Less: Write back during the period		
	Less: Adjustments during the period		
	AS AT BALANCE SHEET DATE		
	d) GENERAL RESERVE AS PER LAST BALANCE SHEET		
	Add: Transfer from Surplus		
	Less: Write back during the period		
	Less: Adjustments during the period		
	AS AT BALANCE SHEET DATE		
	e) SURPLUS *		(2,479,827)
	TOTAL		(2,479,827)
	DETAILS OF SURPLUS *		
	Profit for the period as per Statement of Profit and Loss		
	Balance brought forward		(2,479,827)
	BALANCE CARRIED FORWARD		(2,479,827)



CHHATTISGARH COPPER LIMITED
Notes On Financial Statements For The Year Ended 31st March 2019

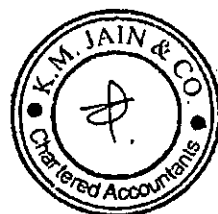
NOTES No.	PARTICULARS	For the period ended 31st MAR 2019	
		Amount in Rs.	Amount in Rs.
3	<u>OTHER CURRENT LIABILITIES</u>		
	i) Other liabilities- Other Sundry Creditor		9,73,622
	1- Sundry Creditor HCL A/c	6,50,000	
	2- Sundry Creditor CMDC A/c	52,000	
	3- Sundry Creditor Others A/c	2,04,502	
	4- TDS Payable	67,120	
	TOTAL		9,73,622
4	<u>SHORT TERM PROVISIONS</u>		
	i) PROVISION - OTHERS		1,28,985
	AS PER LAST BALANCE SHEET		
	Additions during the period	1,28,985	
	Amount used during the period		
	Amount reversed during the period		
	CLOSING BALANCE		1,28,985
	TOTAL		1,28,985
	Explanatory Note:- 1) Pending approval of the Performance Related Pay Scheme (PRP) by Board in terms of DPE guidelines, '-----' Lac has been provided during the year. Cumulative provision existed as at 31.03.2012 for PRP is '-----' Lac, against which an amount of '-----' Lac stands paid as advance to employees.		
5	<u>TANGIBLE ASSETS</u>		
	Gross Block		5,59,957
	Less: Depreciation		65,149
	Less: Provision for Discarded Assets		
	Less: Provision For loss of Assets Pending Invest-Assets		
	NET BLOCK (SEE NEXT PAGE)		4,94,808
6	<u>CASH AND CASH EQUIVALENTS</u>		
	A) CASH AND CASH EQUIVALENTS		
	i) Cash on hand		
	ii) Cheques, drafts on hand		
	iii) Balances with banks		
	- With scheduled banks		
	- With other banks		
	TOTAL		5,10,972
7	<u>DEPRECIATION AND AMORTISATION EXPENSES</u>		
	A. DEPRECIATION		
	Depreciation for the period		65,149
	SUB TOTAL (A)		65,149
	B. AMORTISATION		
	Amortisation during the period		-
	SUB TOTAL (B)		-
	TOTAL (A+B)		65,149
8	<u>GENERATION, ADMINISTRATION AND OTHER EXPENSES</u>		
	<u>ADMINISTRATION EXPENSES</u>		
	Capital Enhancement Exp.	9,93,500	
	Misc Exp.	63,548	
	Rent,Rates,Tele Exp.	3,40,849	
	Consultancy Charges	6,50,000	
	Vehicle Hire & Other Exp.	2,11,344	
	Bank Charges	177	
	Printing Charges	26,275	
	Provision For Exp Upto Mar 19 (Details in Annexure/Note - 9)	1,28,985	
	SUB TOTAL		24,14,678



Note : 5 Property, plant and equipment

(' in Rs)

DESCRIPTION	Free Hold Land	Buildings including Sanitary and Water Supply System	Plant, Machinery and Mining Equipment	Furniture & Fixtures & Office Equipment	Vehicles	Electrical Equipment and Installation	Total
YEAR ENDED 31ST MARCH 2019							
Gross Carrying Amount							
Opening Gross Carrying Amount							-
Exchange Differences							-
Additions				559,957.00			559,957
Inter-head Adjustments							-
Assets classified as held for sale							-
Disposals							-
Transfers from Active Assets							-
Transfers to Active Assets							-
Other Adj							-
Closing Gross Carrying Amount				559,957.00			559,957
Accumulated Depreciation							
Opening Accumulated Depreciation							-
Depreciation charge during the year				65,149			65,149
Impairment Losses							-
Exchange Differences							-
Inter-head Adjustments							-
Assets classified as held for sale							-
Disposals							-
Transfers from Active Assets							-
Transfers to Active Assets							-
Closing Accumulated Depreciation	-	-	-	65,149	-	-	65,149
Net Carrying Amount 2018-19	-	-	-	494,808	-	-	494,808



CHHATTISGARH COPPER LIMITED
Notes On Financial Statements For The Year Ended 31st March 2019

9	PROVISIONS	
	Provision for Others	128,985
	TOTAL	128,985
	<u>Explanatory Note: -</u>	
	1) Detail of Audit Expenses are as under: -	As on 31.03.2019
	i) <u>Statutory Auditors</u> As Auditor - Statutory Audit Fees - Tax Audit Fees In Other Capacity - Company Law Matters Reimbursement of Expenses	15,000
	ii) <u>Cost Auditors</u> - Cost Audit Fees - Reimbursement of Expenses	-
	iii) <u>Internal Auditors</u> - Audit Fees - Reimbursement of expenses	-
	2) Provision Others	113,985
	TOTAL	128,985
10	OTHER CURRENT ASSET	
	i) GST RECOVERABLE	117,000
	TOTAL	117,000



SIGNIFICANT ACCOUNTING POLICIES OF CCL

1. Corporate Information

Established on 21.05.2018 and domiciled in India, Chhattisgarh Copper Limited (CCL) is a Joint Venture Company (JVC) formed between Hindustan Copper Limited (HCL) and Chhattisgarh Mineral Development (CMD) for exploration, mining and beneficiation of copper and its associated minerals in the State of Chhattisgarh. Since HCL holds 74% equity in JVC, it is also a Subsidiary of HCL as per Section 2(87) of the Companies Act, 2013.

2. SIGNIFICANT ACCOUNTING POLICIES

2.1 Basis of Accounting

The accompanying financial statements have been prepared under historical cost convention from the books of accounts maintained under accrual basis except for certain financial instruments which are measured at fair value and in accordance with Indian Accounting Standards (IND AS), as notified by MCA prescribed under the Companies (Indian Accounting Standards) Rules, 2015 ("Ind AS Rules"), of the Companies Act, 2013. The accounting policies, methods of computation and presentation applied in these financial statements have been consistently applied in each of the periods presented.

2.2 Use of Estimates

The preparation of financial statements in accordance with Ind AS requires the use of certain critical accounting estimates. It also requires management to exercise judgment, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed as "Notes to Financial Statements".

2.3 Property, Plant and Equipment (PPE)

The cost of an item of PPE is recognized as an asset if and only if, it is probable that future economic benefits associated with the item will flow to the company and the cost of the item can be measured reliably. The cost of an item of PPE is the cash price equivalent at the recognition date. The cost of an item of PPE comprises:

- i. Purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates.
- ii. Costs directly attributable to bringing the PPE to the location and condition necessary for it to be capable of operating in the manner intended by management.
- iii. The initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located, the obligation for which the company incurs either when the PPE is acquired or as a consequence of having used the PPE during a particular period for purposes other than to produce inventories during that period.



The company has chosen the cost model of recognition and this model is applied to an entire class of PPE. After recognition as an asset, an item of PPE is carried at its cost less any accumulated depreciation and any accumulated impairment losses.

When parts of an item of PPE have different useful lives, they are accounted for as separate items (major components) of PPE.

2.4 Depreciation

The depreciable amount of an item of PPE is allocated on a straight line basis over its useful life prescribed in Part C of Schedule II of the Companies Act, 2013 or actual useful life of assets assessed by the Technical Committee of the company, whichever is lower. The residual value and the useful life of an asset are reviewed, at each financial year-end. Each part of an item of PPE with a cost that is significant in relation to the total cost of the item is depreciated separately. Depreciation on all such items have been provided from the date they are 'Put to Use' till the date of sale. The residual value of all such items is taken at 5% of the original cost of individual asset.

An item of PPE is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Certain consumable items of small value whose useful life is very limited are directly charged to revenue in the year of purchase. From the date Ind AS came into effect, the carrying amount of an asset is depreciated over the remaining useful life of the asset as per estimate of remaining useful life.

3. Mineral Exploration and Evaluation Expenditures

3.1 Pre-exploration costs

Pre-exploration costs are expensed in the period in which they are incurred.

3.2 Exploration and Evaluation Assets (E & E Assets)

Once the legal right to explore a property has been acquired, costs directly related to exploration and evaluation expenditures are recognized and capitalized, in addition to the acquisition costs. These direct expenditures include such costs as acquisition of rights to explore, materials used, topographical, geological, geochemical and geophysical evaluation, surveying costs, sampling, drilling costs, activities in relation to evaluation of technical feasibility and commercial viability of extracting a mineral resource, consultancy cost, payments made to contractors etc. during the exploration phase. Costs not directly attributable to exploration and evaluation activities are expensed in the period in which they occur.

Administrative and general overhead cost that are directly attributable to the assets are capitalized as E & E Assets.

E & E Assets may be tangible or intangible. To the extent that a tangible asset is consumed in developing an intangible asset, the amount reflecting that consumption may be part of the cost of the intangible asset created. However, the asset being used remains a tangible asset.



When a project is deemed to no longer have commercially viable prospects for the Company, exploration and evaluation expenditures in respect of that project are deemed to be impaired. As a result, those exploration and evaluation expenditure costs, in excess of estimated recoveries, are written off to Statement of Profit & Loss.

The Company assesses exploration and evaluation assets for impairment when facts and circumstances suggest that the carrying amount of an asset may exceed its recoverable amount.

Once the technical feasibility and commercial viability of extracting the mineral resource has been determined, the property is considered to be a mine under development and is classified as "mines under construction".

Exploration and evaluation Assets are also tested for impairment before the assets are transferred to development properties.

As the Company currently has not commenced commercial operations, any incidental revenues, including receipt of input tax credit receivables, earned in connection with exploration activities are applied as a reduction to capitalized exploration costs.

An impairment loss is reversed if there is an indication that there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation, if no impairment loss had been recognized.

3.3 Expenditure for decommissioning/site restoration liability

Financial implications towards decommissioning/site restoration liability under relevant Acts and Rules are technically estimated and a suitable reserve is created based on the estimated life of the site over the period by charging the same to Statement of Profit and Loss.

4. Estimates and Provisions

4.1 Use of Estimates

The presentation of financial statements in confirmative with the Generally Accepted Accounting Principles (GAAP) requires estimates and assumptions to be made that affects the reported amount of assets and liabilities on the date of the financial statements and the reported amount of revenues and expenses during the reported period. Difference between the actual result and estimates are recognized in the period in which the results are known/ materialized.

4.2 Provisions, Contingent Liabilities & Contingent Assets

- Provisions are recognized in the accounts in respect of present probable obligation, the amount of which can be reliably estimated.



- Contingent Liabilities are not recognized but are disclosed in respect of possible obligations that arise from past events but their existence is confirmed by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company.
 - Contingent assets are neither recognized nor disclosed in the financial statements.
5. Being first reporting period, previous year figures & comparative are not applicable to the Company.

For K. M. Jain & Co.
Chartered Accountants
Firm Reg.No.002252C


Siddharth Jain
(Partner)
M.No: 435800




H. K. Verma
Chief Financial Officer

Place: Raipur
Date: 02.05.2019

CHHATTISGARH COPPER LIMITED

(A Joint Venture Company of HCL & CMDC)

CIN: U13100CT2018GOI008543

Regd Office: Hindustan Copper Limited, Qtr.NO.002B, Street-40

Sector-05 Bhilai, Durg (CG)-490006

Email: chattisgarhcopper@gmail.com, Telephone- 0788-2222337

37

MGT-11

(Pursuant to Section 105(6) of the Companies Act, 2013 and Rule 19(3) of the Companies (Management and Administration) Rules, 2014)

FORM OF PROXY

Name of Member(s)			
Registered Address			
Folio No.			
DP ID No		Client ID No	

I/We, being a member(s) of Chhattisgarh Copper Limited hereby appoint:

1. Name: _____ E-mail Id _____
Address: _____ Signature _____ or
failing him/her
2. Name: _____ E-mail Id _____
Address: _____ Signature _____ or
failing him/her
3. Name: _____ E-mail Id _____
Address: _____ Signature _____

as my/ our Proxy to attend and vote for me/ us, on my/ our behalf at the 1st Annual General Meeting of the Company to be held on Thursday, 4th July, 2019 12:00 Noon at Hotel Courtyard Marriott, Raipur and at any adjournment thereof in respect of the following resolutions:

ORDINARY RESOLUTIONS

1. To receive, consider and adopt the audited Financial Statement for the year ended on 31st March 2019, along with the Reports of the Statutory Auditors, Directors and Comptroller & Auditor General of India (C&AG).
2. To appoint a Director in place of Shri Prem Singh Yadav (DIN: 02179916), who retires by rotation and is eligible for re-appointment.
3. To appoint a Director in place of Shri Vinay Kumar Singh (DIN: 08306517), who retires by rotation and is eligible for re-appointment.
4. To fix remuneration of the Statutory Auditors for financial year 2019-20.

Signed this _____ day of _____ 2019. Signature of Member _____

Signature of Proxy holder(s): 1. _____ 2. _____ 3. _____

Revenue
Stamp

NOTE: The Form of Proxy duly completed must be deposited at the Registered Office of the Company Qtr No 002B, Street -40 Sector-5, Bhilai, Durg (C.G.) - 490001 not later than 48 hours before the time for holding the meeting.